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S275121

No. ~~No. S275121~~

In the Supreme Court of the State of California

In the Supreme Court of the State of California

PETER QUACH,
PETER QUACH,

Plaintiff-Petitioner,
Plaintiff-Petitioner,

v.

CALIFORNIA COMMERCE CLUB, INC.,
v.

Defendant-Respondent.
CALIFORNIA COMMERCE CLUB, INC.,
Defendant-Respondent.

Second Appellate District, Case No. B310458
Los Angeles County Superior Court, Case No. 19STCV42445
The Honorable Michael L. Stern, Judge

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PETITION FOR REVIEW

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I. ISSUES PRESENTED FOR REVIEW

I. ISSUES PRESENTED FOR REVIEW

In 2003, this Court adopted a non-exhaustive, multi-factor test for deciding whether a party has "waived" its contractual right to compel arbitration — a test lower courts were required to apply under both the Federal Arbitration Act ("FAA") and the California Arbitration Act ("CAA"). (*St. Agnes Med. Ctr. v. PacifiCare of Cal.* (2003) 31 Cal.4th 1187, 1195-1203 (*St. Agnes*); *see also Iskanian v. CLS Transp. L.A., LLC* (2014) 59 Cal.4th 348, 374-78 (applying *St. Agnes* test).) The most "critical" factor, according to the Court, was prejudice to the party asserting waiver. (*St. Agnes*, 31 Cal.4th at 1203.) This focus on prejudice, however, does not exist under California contract law waiver analysis, which has historically focused entirely on the conduct of the waiving party. (*See id.* at 1195 n.4.) *St. Agnes* justified this departure based on a "policy favoring arbitration" under the FAA and the CAA. (*Id.* at 1195-96.)

In 2003, this Court adopted a non-exhaustive, multi-factor test for deciding whether a party has "waived" its contractual right to compel arbitration — a test lower courts were required to apply under both the Federal Arbitration Act ("FAA") and the California Arbitration Act ("CAA"). (*St. Agnes Med. Ctr. v. PacifiCare of Cal.* (2003) 31 Cal.4th 1187, 1195-1203 (*St. Agnes*); *see also Iskanian v. CLS Transp. L.A., LLC* (2014) 59 Cal.4th 348, 374-78 (applying *St. Agnes* test).) The most "critical" factor, according to the Court, was prejudice to the party asserting waiver. (*St. Agnes*, 31 Cal.4th at 1203.) This focus on prejudice, however, does not exist under California contract law waiver analysis, which has historically focused entirely on the conduct of the waiving party. (*See id.* at 1195 n.4.) *St. Agnes* justified this departure based on a "policy favoring arbitration" under the FAA and the CAA. (*Id.* at 1195-96.)

On May 23, 2022, the United States Supreme Court in *Morgan v. Sundance, Inc.* (U.S. May 23, 2022) 142 S.Ct. 1708 (*Morgan*) unanimously reversed the line of federal cases upon which *St. Agnes* relied. It squarely held that the FAA prohibits courts from requiring a showing of "prejudice" as a condition of establishing waiver. (*Id.* at 1713 (abrogating *Carcich v. Rederi A/B Nordie* (2d Cir. 1968) 389 F.2d 692 (*Carcich*), and similar FAA must treat arbitration contracts no differently than any

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[1] As both cases explain, the term "waiver" has become a shorthand term for the loss of the contractual right to arbitrate by waiting too long to assert it. (*St. Agnes*, 31 Cal.4th at 1195 n.4; *Iskanian*, 59 Cal.4th at 374.) This Petition adopts the same terminology.

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other contract in applying waiver or any other contract principles. *Morgan* then overturns the *St. Agnes* test, at least to the extent that the FAA applies.

Morgan, in overturning *St. Agnes*, at least to the extent that the FAA applies.

In the lower court proceedings, the parties in this case disagreed as to whether the CAA or the FAA applied—though they agreed that the dispute might be immaterial at the time because the standard was the same. But that was before *Morgan*.

Thus, this case presents the following issues:

1. Does the FAA govern the arbitration rights in this case? If so, does the prejudice requirement of *St. Agnes* apply, or does the FAA under *Morgan* prohibit the application of an arbitration-specific waiver and prejudice requirement in favor of the "ordinary procedural rule" of California contract law? If there is a prohibition on arbitration-specific contract rules, what general contract principles apply to claims under the FAA that a party has relinquished its contractual right to arbitration? (*Morgan*, 142 S.Ct. at 1713.)
2. Alternatively, if the CAA applies in this case, should there be a distinction between the CAA and the FAA? Does the CAA (particularly Code of Civil Procedure § 1281) authorize, unlike the FAA, the creation of an arbitration-specific rule of "waiver" requiring a showing of prejudice to the party asserting waiver? Or does Section 1281 (mandating enforcement of arbitration agreements "save upon such grounds exist for revocation of any contract") bar the creation and application of the arbitration-specific rules as *Morgan* held with respect to the FAA?

cases from eight other federal circuits).) *Morgan* makes clear that the FAA must treat arbitration contracts no differently than any other contract applying waiver or any other contract principles.

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II. INTRODUCTION

This case presents the Court with an ideal vehicle for addressing the core issues that now must be decided by this Court following the U.S Supreme Court's unanimous opinion in *Morgan v. Sundance*. The recent *Morgan* decision abrogates the rule established by *St. Agnes* in 2003 and modified by *Iskanian* in 2014, which makes prejudice the "critical factor" requirement when determining, at least in cases arising under the FAA, whether a party has waived its contractual right to arbitration. In the wake of *Morgan*, therefore, this Court must decide what basic principles of California contract law should be applied to determine whether a party has waived its contractual right to arbitration. Further, this case presents the Court with an ideal vehicle to determine whether there is in fact—or should be—any distinction between the FAA and the CAA on the issue of waiver of the contractual right to arbitrate. The facts of this case squarely present the issues before this Court after *Morgan*. The Respondent, despite being fully aware of its supposed contractual right to arbitrate, waited thirteen months after engaging in significant discovery before filing a petition to compel arbitration. The trial court found the Respondent had waived its right to arbitration, but the Court of Appeal reversed, relying on the now-abrogated prejudice requirement in *St. Agnes*. No factual disputes related to waiver exist.[2] Furthermore, the parties fully waived its right to arbitration; but the Court of Appeal reversed, relying on the now-abrogated prejudice requirement in *St. Agnes*. The unpublished portion of the Court of Appeal's opinion, dealing with unconscionability of the arbitration agreement, implicates many factual issues. However,

[2] The waiver analysis presents a pure question of law on undisputed facts.

No factual disputes related to waiver exist. Furthermore, the parties fully briefed the issue of whether the FAA or the CAA applied in this case, but neither the trial court nor the Court of Appeal even reached the issue. Accordingly, this Court should grant review to decide the impact of *Morgan* in California and to provide guidance to state and federal trial and appellate courts regarding the application of California's "ordinary procedural rule[s]" to arbitration agreements. (*Morgan*, 142 S.Ct. at 1713.) The instant case is the ideal opportunity for the following three reasons.

First, *Morgan* has abrogated the prejudice requirement of *St. Agnes* for cases arising under the FAA. *Morgan* declined, however, to decide which state-law contract procedure governed that case because each state's high court retains primary authority to determine the principles of state contract law. (*See Morgan*, 142 S.Ct. at 1712 (declining to determine which applicable standard for unenforceability or revocation of contract applies under state law, such as "waiver, forfeiture, laches, estoppel, procedural timeliness," or other grounds).) It is clear that, at least with respect to cases governed by the FAA, the rule in *St. Agnes* no longer applies, and it remains for this Court to say which rule does. The developed and undisputed factual record in this case lends itself to clear and well-informed rulemaking on the issue of waiver.

[2] The waiver analysis presents a pure question of law on undisputed facts. The unpublished portion of the Court of Appeal's opinion, dealing with unconscionability of the arbitration agreement, implicates many factual issues. However, the trial court did not reach the issue of unconscionability and therefore never made factual findings in relation to unconscionability before the Court of Appeal made its own factual determinations.

III. STATEMENT OF CASE

A. Factual Background

1. Peter Quach's employment and termination.

Plaintiff-Petitioner Peter Quach ("Mr. Quach") is a currently 72-year-old man (who was 69 at the time of termination) of Vietnamese descent. (AA010.)[3] In 1989, Defendant-Respondent California Commerce Club, Inc. hired Mr. Quach as a "Floorperson" to supervise activity on the gambling floor of its casino in Commerce, California. (AA010.) Mr. Quach remained in that position for nearly 30 years, until 2018, when Respondent fired him. (AA011.)

In 2015, Respondent hired new upper management. (AA010.) Afterwards, Mr. Quach observed several occasions on which older employees were written up, suspended, and/or terminated for minor, trivial, nonexistent, and even fabricated violations. (AA011.) Mr. Quach himself was abruptly fired over a pretextual incident involving Mr. Quach's acceptance of five allegedly counterfeit $20 bills. (AA011.)

2. Respondent's arbitration agreement and its execution.

In 2015 (the same year as the shift in upper management), Respondent's Human Resources Department notified all casino employees they were required to attend a meeting about arbitration. (AOB9 (citing AA72-79).) Respondent proceeded to call groups of employees into a conference room where they were given a form arbitration agreement and made to watch an eight-minute video about the new arbitration policy. (AOB9.) The video explained that signing the arbitration agreement was a mandatory condition of employment going forward and they had thirty days

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[3] Mr. Quach's record citations use the following format: "AA" (appellant's appendix); "AR" (augmented record); "AOB" (appellant's opening brief in COA); "ROB" (respondent's opening brief in COA).

IV. REASONS WHY REVIEW SHOULD BE GRANTED

In the wake of *Morgan*, this Court should grant review to (A) announce which of California's ordinary procedural rule[s] supplies the principles regarding waiver of the contractual right to arbitrate; (B) resolve whether the CAA's statutory command differs from the FAA's statutory command—despite identical language and an identical policy favoring arbitration—and if so, which statute applies when; and (C) clarify California law governing arbitration waiver so as to secure uniformity amongst the Courts of Appeal and trial courts on this fundamental issue. (*See* Cal. R. Ct. 8.500(b)(1).)

A. Following *Morgan*, This Court Should Declare Which Ordinary Procedural Rules of California Law Applies to Waiver of the Contractual Right to Arbitration

1. California's current jurisprudence on arbitration waiver.

In 2003, this Court's decision in *St. Agnes* set forth California's test for determining whether a party had waived its contractual right to arbitration. The Court approved of a nonexhaustive list of six factors that are "relevant and properly considered in assessing waiver" claims: (1) whether the party's actions are inconsistent with the right to arbitrate; (2) whether "the litigation machinery has been substantially invoked" and the parties "were well into preparation of a lawsuit" before the party notified the opposing party of an intent to arbitrate; (3) whether a party either requested arbitration enforcement close to the trial date or delayed for a long period before seeking a stay; (4) whether a defendant seeking arbitration filed a counterclaim

counterclaim without asking for a stay of the proceedings; (5) "whether important intervening steps [e.g., taking advantage of judicial discovery procedures not available in arbitration] had taken place"; and (6) whether the delay "affected, misled, or prejudiced" the opposing party. (*St. Agnes*, 31 Cal.4th at 1196 (quoting *Sobremonte v. Superior Court* (1998) 61 Cal.App.4th 980, 992), brackets in original.)

Among these factors, *St. Agnes* placed special emphasis on the prejudice factor, declaring that "[t]he presence or absence of prejudice from the litigation of the dispute is the determinative issue under federal law." (*St. Agnes*, 31 Cal.4th at 1203 (quoting *Doers*, 23 Cal.3d at 188).) Relying on this federal law, *St. Agnes* established that "[i]n California, whether or not litigation results in prejudice also is critical in waiver determinations." (*Id.* at 1203 (citing *Keating v. Superior Court* (1982) 31 Cal.3d 584, 605 and *Doers*, 23 Cal. at 188).) In establishing this critical prejudice requirement, *St. Agnes* limited what kinds of burden constitute prejudice in this context by asserting "[w]aiver does not occur by mere participation in litigation if there has been no judicial litigation of the merits of arbitrable issues." (*Id.* (quoting *Christensen v. Dewor Developments* (1983) 33 Cal.3d 778, 782).)

St. Agnes's inclusion (and elevation) of a prejudice requirement for establishing waiver of a contractual right to arbitration has no basis in California contract law. In any other context, "[w]aiver requires an existing right, the waiving party's knowledge of that right, and the party's actual intention to relinquish the right." (*Lynch v. California Coastal Com.* (2017) 3 Cal.5th 470, 475 (internal quotations omitted).) Rather than focusing on prejudice, "[w]aiver always rests upon intent." (*Id.* (quoting *City of Ukiah v. Fones* (1966) 64 Cal.2d 104, 107).)

2. Morgan abrogates the prejudice requirement established in *St. Agnes*.

2. Morgan abrogates the prejudice requirement established in St. Agnes.

For cases arising under the FAA, *Morgan* abrogates this Court's decision in *St. Agnes* and expressly bars its "critical" prejudice factor to the extent that this requirement has no basis in general principles of California contract law. *Morgan* expressly overrules nine federal courts of appeals, including the Ninth Circuit, which had "invoked 'the strong federal policy favoring arbitration' in support of an arbitration-specific waiver rule demanding a showing of prejudice." (*Morgan*, 142 S.Ct. at 1712 & n.1.) The case had come from the Eight Circuit, and the U.S. Supreme Court noted that the Eighth Circuit's "arbitration-specific rule derives from a decades-old Second Circuit decision, which in turn grounded the rule in the FAA's policy." (*Id.* at 1713 (citing *Carcich*, 389 F.2d at 696); *see also Erdman Co. v. Phoenix Land & Acquisition, LLC* (8th Cir. 2011) 650 F.3d 1115, 1120 n.4 ("[t]racing the origins of [the Eighth Circuit's] prejudice requirement to *Carcich*").)

In *Morgan*, the U.S. Supreme Court struck down this precedent, holding that "the text of the FAA makes clear that courts are not to create arbitration-specific procedural rules" and explicitly rejected any prejudice requirement for waiver when the general waiver principles of the state do not include one. (*Morgan*, 142 S.Ct. at 1714.) As of today, following *Morgan*, courts applying the FAA must look to general state-law contract principles to determine waiver, but arbitration-specific rules are prohibited. (*Id.*)

V. CONCLUSION

For the foregoing reasons, Mr. Quach respectfully requests that the Court grant plenary review of the Court of Appeal's opinion.

Dated: June 20, 2022

Respectfully submitted,

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CERTIFICATE OF COMPLIANCE

I certify that the attached PETITION FOR REVIEW uses a 13-point Century Schoolbook font and contains 7,881 words.

Dated: June 20, 2022

Respectfully submitted,

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I certify that the foregoing PETITION FOR REVIEW was electronically served on the following interested parties on June 20, 2022, in the manner described.

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Respectfully submitted,

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